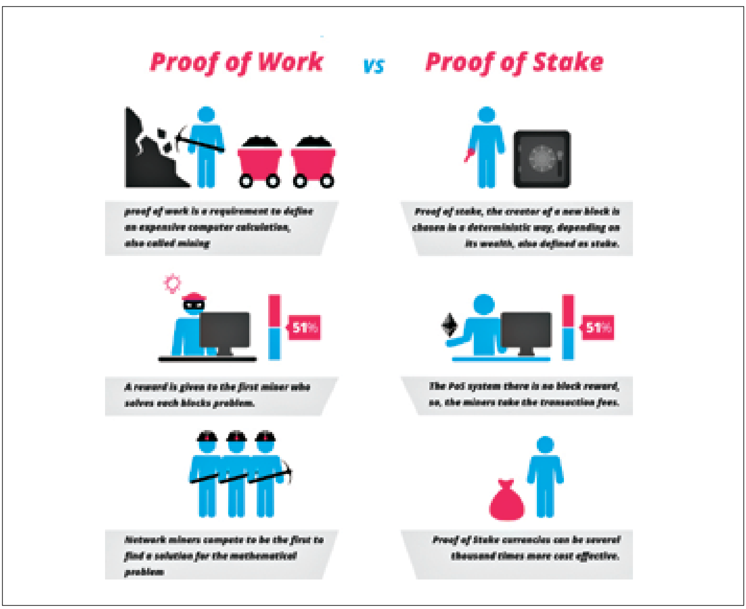
Proof of Stake

The next major innovation in the blockchain world was “Proof-of-stake” (POS). A cryptocurrency blockchain network aims to achieve distributed consensus by the Proof-of-stake algorithm. It can also be considered as an alternate process for transaction verification on the blockchain.

Proof-of-stake was first introduced by Sunny King and Scott Nadal in a paper in 2012 and it intended to solve the problem of Bitcoin mining’s high energy consumption. The average cost of maintain a bitcoin network at that time was around $150,000 a day. Today this cost would be around $6-7M USD. In order to understand Proof-of-stake, it is important to have a basic idea about Proof-of-work.

A mining process wherein a user installs a powerful computer or a mining rig to solve complex mathematical problems/puzzles called as proof of work problems is ‘Proof of work’. The verified transactions of several successfully performed calculations of various transactions are stacked together and stored on a ‘new’ block on the distributed ledger or public blockchain. Mining creates new currency units after verifying the legitimacy of a transaction.



Proof of stake helped reduce the average cost to maintain a Bitcoin network.